DSEH004 Performance Management and Employee Engagement

Week 11 | Lecture 1 | Unit IV

Recognition: Theory and Design

Why recognition works, when rewards backfire, and how to design for Indian workplaces

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Quiz 5

Quiz at the start of the session.
Select every option that applies. Closed book, closed phone.

Commit before theory

A firm starts paying a cash bonus for every idea employees submit. Submissions triple in three months. What is the likely long-run risk?

A None; more ideas is good

B Idea quality falls as people chase the count

C Intrinsic interest in improving work declines

D Employees who do not submit feel excluded

Brun and Dugas: four forms of recognition

1 Existential

Recognizing the person as a human being

2 Work practice

Recognizing how the work is done

3 Job dedication

Recognizing effort and commitment

4 Results

Recognizing outcomes achieved

Brun and Dugas (2008): most programs reward only results, leaving the other three forms unmet

The rewards and intrinsic motivation debate

Study	Finding	Implication
Deci, Koestner and Ryan (1999)	Expected, tangible, contingent rewards undermine intrinsic motivation; verbal praise tends to enhance it	Use praise for interesting work
Cameron and Pierce (1994)	Argued the overall detrimental effect is small	The debate is real
Cerasoli et al. (2014)	Intrinsic motivation predicts quality more; incentives predict quantity more; both work jointly	Match reward to the outcome

Recognition and behavior change

1 Behavior modification

Stajkovic and Luthans (1997): contingent reinforcement improves task performance

2 Money and recognition

Stajkovic and Luthans (2003): social recognition and money both work, and combined they work best

3 Rewarding the wrong thing

Kerr (1975): firms often reward A while hoping for B

Recognition and fairness

Equity comparisons

- Adams (1965): people compare outcome to input ratios with others
- Visible recognition triggers comparison
- Perceived unfairness reduces effort

vs

Design responses

- Recognize processes and effort, not only results
- Make criteria clear and open
- Spread recognition across roles that are less visible

Designing for Indian workplaces

1 Family inclusive

Recognition that families can see and share, where employees value it

2 Festival aware

Timing and form that respect diverse festivals rather than one calendar

3 Hierarchy aware

Recognition from senior leaders can carry special weight in high power distance settings (Hofstede, 2001)

Course framing: cultural fit changes the form of recognition, not the theory of why it works

A points-based recognition app

Teaching case (Course framing)

A Noida software firm launches an app where employees award points to peers, redeemable for vouchers. Within months, points cluster in a few popular teams, support staff receive almost none, and some friends trade points. Leaders want to add a monthly leaderboard.

Work it through

1. Which Brun and Dugas forms does the app capture?
2. Explain the clustering with equity theory
3. Should leaders add the leaderboard? Use the rewards debate
4. Redesign the program

Exam-style question

Design a recognition program for a large Indian organization. Justify your design using recognition theory and the evidence on rewards and intrinsic motivation. (20 marks)

What a strong answer does

- Uses Brun and Dugas' four forms
- Presents the Deci et al. and Cameron and Pierce debate fairly, with Cerasoli et al.
- Applies equity theory and Kerr to avoid rewarding the wrong thing
- Adapts form to context without stereotyping

Sources (1 of 2)

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